HAGENS BERMAN

Direct Edge/BATS Global

CASE STATUS
Settled

ATTORNEYS
Steve W. Berman (https://www.hbsslaw.com/attorneys/steve-berman)
Shayne C. Stevenson (https://www.hbsslaw.com/attorneys/shayne-stevenson)

PRACTICE AREAS
Dodd-Frank
SEC
Whistleblower (https://www.hbsslaw.com/practices/whistleblower-og)

CASE NUMBER
3-16332

DEFENDANT(S)
Direct Edge/BATS Global

FILE DATE
01/12/2015

RELATED DOCUMENTS

SEC Order (https://www.hbsslaw.com/sites/default/files/case-downloads/directedge_batsglobal/01.12.15_directedge_batsglobal_sec_order.pdf) 01/12/15

Hagens Berman represents HFT whistleblower and market expert, Haim Bodek, in an SEC fraud whistleblower case that prompted the U.S. Securities and Exchange Commission to bring record-breaking fines against two exchanges formerly owned by Direct Edge Holdings (and since acquired by Bats Global Markets, the second-largest financial exchange in the country). The exchanges agreed to pay $14 million to settle charges that the exchanges failed to accurately and completely disclose how order types functioned on its exchanges and for selectively providing such information only to certain high-frequency trading firms.

PRESS RELEASES

MAR 6, 2018
Hagens Berman Whistleblower Client, Haim Bodek, Again Helps Lead SEC to Fine A Stock Exchange $14 Million, this time NYSE (https://www.hbsslaw.com/press/direct-edgebats-global/hagens-berman-whistleblower-client-haim-bodek-again-helps-lead-sec-to-fine-a-stock-exchange-14-million-this-time-nyse)

JAN 12, 2015
Hagens Berman's SEC Whistleblower Client Haim Bodek's Complaint Against High Frequency Trading and Financial Exchange Abuse Results in Largest Ever Penalty Against a Financial Exchange (https://www.hbsslaw.com/press/direct-edgebats-global/hagens-bermans-sec-whistleblower-client-haim-bodeks-complaint-against-high-frequency-trading-and-financial-exchange-abuse-results-in-largest-ever-penalty-against-a-financial-exchange)

JAN 12, 2015

Mr. Bodek, former head of Trading Machines LLC (following stints with Goldman Sachs, UBS and others), has blown the whistle on deceptive practices by certain high-frequency trading firms and financial exchanges catering to them. He has been featured in front page Wall Street Journal profiles and elsewhere for his whistleblowing.

The SEC Order finds that Direct Edge, an exchange that merged with Bats in late January 2014, failed to accurately describe order types used on the exchange. It also found that such information was selectively disclosed to certain high-frequency trading members and not to the SEC or the investing public.

This conduct violated sections 19(b) and 19(g) of the Securities Exchange Act of 1934.

The investigation centered on the controversial "price sliding" process for handling buy and sell orders. It revealed that the Exchange actually offered three variations of "price sliding" order types but did not disclose these features in its required disclosures to the SEC or to the investing public.

Hagens Berman's SEC Whistleblower Client Haim Bodek's Complaint Against High-Frequency Trading and Financial Exchange Abuse Results in Largest Ever Penalty Against a Financial Exchange (https://www.hbsslaw.com/press/direct-edgebats-global/hagens-bermans-sec-whistleblower-client-haim-bodeks-complaint-against-high-frequency-trading-and-financial-exchange-abuse-results-in-largest-ever-penalty-against-a-financial-exchange-0)

ABOUT THE SEC WHISTLEBLOWER PROGRAM

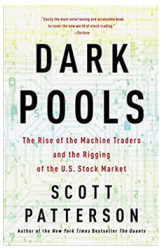
Hagens Berman is one of a handful of the leading law firms representing successful whistleblowers under the SEC whistleblower program. We were SEC representing whistleblowers even before the first day that the Securities and Exchange Commission's Dodd-Frank Whistleblower Program launched in the summer of 2011. We beat the odds for our clients, having recovered maximum awards in several record-setting cases. Our current SEC whistleblower cases run the gamut of securities fraud: misrepresentations and omissions in financial filings; accounting fraud; insider trading; market manipulation; market structure and trading violations; pricing fraud; offering fraud; foreign bribery (FCPA); investment fraud; other various other kinds of securities fraud. Our whistleblower legal team represents dozens of SEC whistleblowers around the world in cases currently under investigation by SEC Enforcement Division offices across the country.

CONFIDENTIAL CONSULTS FOR WHISTLEBLOWERS

Whistleblower cases are kept under strictly enforced confidentiality by the government or the courts during the period of investigation, and for the SEC/CFTC/IRS programs, in perpetuity. Likewise, whistleblower attorneys at Hagens Berman will handle its investigation and any eventual lawsuit or agency complaint with the highest confidentiality to protect your anonymity. We work to protect your anonymity, confidentiality, and job security during the entirety of our representation. Whistleblower laws protect employees from retaliation and Hagens Berman helps whistleblowers address retaliation and potential retaliation. To understand your rights and the legal protections provided by several whistleblower programs, contact us for a confidential consult.

TOP WHISTLEBLOWER LAW FIRM

Hagens Berman's team of expert whistleblower attorneys, led by managing partner, Steve Berman and head of whistleblower practice, Shayne Stevenson, has the track record, reputation, and knowledge to advocate for whistleblower clients in ways others do not. Our whistleblower practice is among a handful of the most successful and respected in the U.S. Unlike smaller, less experienced whistleblower law firms, Hagens Berman also has more than 80 attorneys in cities worldwide litigating complex corporate fraud every day, giving our clients the resources and expertise necessary to take on a broad range of whistleblower cases.



Wall Street Journal reporter Scott Patterson profiled our client (https://www.hbsslaw.com/cases/direct-edgebats-global) and market structure expert Haim Bodek and what became his SEC whistleblower allegations in his best-selling book "Dark Pools." (https://www.amazon.com/Dark-Pools-Machine-Traders-Rigging/dp/0307887189)

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